

NATIONAL INCOME: GDP, GVA, GNP, NDP AND MEASUREMENT

TERRITORY BEFORE ARITHMETIC → GROSS-TO-NET LADDER → THREE-METHOD CONVERGENCE → GDP-GVA TAX BRIDGE → NOMINAL-REAL DECODER → PRODUCTION-BOUNDARY GATE

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g6 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 TERRITORY BEFORE ARITHMETIC

TERRITORY BEFORE ARITHMETIC DOMESTIC TERRITORY NORMAL RESIDENCE NFIA BRIDGE GDP + NFIA LOCATION AND OWNERSHIP ARE NOT THE SAME BOUNDARY MUST REMEMBER NATIONAL ACCOUNTS MEASURE PRODUCTION, INCOME AND EXPENDITURE CONSISTENTLY

DOMESTIC TERRITORY → GDP

NORMAL RESIDENCE → GNP

NFIA BRIDGE → GDP + NFIA

TRAP → location and ownership are not the same boundary

CORE CLAIM

- DOMESTIC TERRITORY → GDP
- NORMAL RESIDENCE → GNP

MECHANISM

- NFIA BRIDGE → GDP + NFIA
- TRAP → location and ownership are not the same boundary

CONSEQUENCE / LIMIT

- MUST REMEMBER: National accounts measure production, income and expenditure consistently...
- DOMESTIC TERRITORY → GDP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP → location and ownership are not the same boundary.

01

STAGE 01 GROSS-TO-NET LADDER

GROSS-TO-NET LADDER MINUS DEPRECIATION CAPITAL CONSUMPTION RETAINED CAPITAL CONSUMPTION DEDUCTED

GDP → minus depreciation → NDP

GNP → minus depreciation → NNP

GROSS → capital consumption retained

NET → capital consumption deducted

CORE CLAIM

- GDP → minus depreciation → NDP
- GNP → minus depreciation → NNP

MECHANISM

- GROSS → capital consumption retained
- NET → capital consumption deducted

CONSEQUENCE / LIMIT

- GDP → minus depreciation → NDP
- GNP → minus depreciation → NNP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GROSS → capital consumption retained; NET → capital consumption deducted.

02

STAGE 02 THREE-METHOD CONVERGENCE

THREE-METHOD CONVERGENCE VALUE ADDED WAGES + PROFITS + RENT + MIXED INCOME C + I + G + (X - M) ONE OUTPUT, THREE MEASUREMENT ROUTES

PRODUCTION → value added

INCOME → wages + profits + rent + mixed income

EXPENDITURE → C + I + G + (X - M)

IDENTITY → one output, three measurement routes

CORE CLAIM

- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

MECHANISM

- EXPENDITURE → C + I + G + (X - M)
- IDENTITY → one output, three measurement routes

CONSEQUENCE / LIMIT

- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXPENDITURE → C + I + G + (X - M).

03

STAGE 03 GDP-GVA TAX BRIDGE

GDP-GVA TAX BRIDGE GVA AT BASIC PRICES PRODUCT TAXES PRODUCT SUBSIDIES = GDP AT MARKET PRICES

CORE CLAIM

- GVA AT BASIC PRICES
- PRODUCT TAXES

MECHANISM

- PRODUCT SUBSIDIES
- = GDP AT MARKET PRICES

CONSEQUENCE / LIMIT

- GVA AT BASIC PRICES
- PRODUCT TAXES

THREE-METHOD CONVERGENCE

VALUE ADDED

WAGES + PROFITS + RENT + MIXED INCOME

$C + I + G + (X - M)$

ONE OUTPUT, THREE MEASUREMENT ROUTES

PRODUCTION → value added

→

INCOME → wages + profits + rent + mixed income

→

EXPENDITURE → $C + I + G + (X - M)$

→

IDENTITY → one output, three measurement routes

CORE CLAIM

- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

MECHANISM

- EXPENDITURE → $C + I + G + (X - M)$
- IDENTITY → one output, three measurement routes

CONSEQUENCE / LIMIT

- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXPENDITURE → $C + I + G + (X - M)$.

03

STAGE 03

GDP-GVA TAX BRIDGE

GDP-GVA TAX BRIDGE

GVA AT BASIC PRICES

PRODUCT TAXES

PRODUCT SUBSIDIES

= GDP AT MARKET PRICES

CORE CLAIM

- GVA AT BASIC PRICES
- PRODUCT TAXES

MECHANISM

- PRODUCT SUBSIDIES
- = GDP AT MARKET PRICES

CONSEQUENCE / LIMIT

- GVA AT BASIC PRICES
- PRODUCT TAXES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRODUCT TAXES; PRODUCT SUBSIDIES; = GDP AT MARKET PRICES.

04

STAGE 04

NOMINAL-REAL DECODER

NOMINAL-REAL DECODER

CURRENT PRICES

SIZE AND RATIOS

BASE-YEAR PRICES

VOLUME GROWTH

REAL X 100

BASE REVISION CHANGES THE COMPARISON FRAME

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
NOMINAL → current prices → size and ratios	DEFLATOR → nominal / real x 100	NOMINAL → current prices → size and ratios
REAL → base-year prices → volume growth	LIMIT → base revision changes the comparison frame	REAL → base-year prices → volume growth

CORE CLAIM

- NOMINAL → current prices → size and ratios
- REAL → base-year prices → volume growth

MECHANISM

- DEFLATOR → nominal / real x 100
- LIMIT → base revision changes the comparison frame

CONSEQUENCE / LIMIT

- NOMINAL → current prices → size and ratios
- REAL → base-year prices → volume growth

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → base revision changes the comparison frame.

05

STAGE 05

PRODUCTION-BOUNDARY GATE

PRODUCTION-BOUNDARY GATE

CURRENT FINAL GOODS AND SERVICES

PERMITTED IMPUTATIONS AND GOVERNMENT SERVICES

EMBEDDED INTERMEDIATE INPUTS AND PURE TRANSFERS

OLD ASSETS EXCEPT CURRENT BROKERAGE

CLOSE DISTINCTION

NOMINAL IS CURRENT-PRICE VALUE, REAL IS CONSTANT-PRICE VOLUME, A

IN → current final goods and services

→

IN → permitted imputations and government services

→

OUT → embedded intermediate inputs and pure transfers

→

OUT → old assets except current brokerage

→

CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level

CORE CLAIM

- IN → current final goods and services
- IN → permitted imputations and government services

MECHANISM

- OUT → embedded intermediate inputs and pure transfers
- OUT → old assets except current brokerage

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level...
- IN → current final goods and services

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level.

06

STAGE 06

INFORMAL-SECTOR ESTIMATION

INFORMAL-SECTOR ESTIMATION

MISSING COMPLETE ACCOUNTS

SURVEYS + ADMINISTRATIVE SOURCES

BENCHMARK-INDICATOR EXTRAPOLATION

SHOCKS CAN BREAK HISTORICAL RATIOS

MISSING COMPLETE ACCOUNTS

surveys + administrative sources

→

benchmark-indicator extrapolation

→

LIMIT → shocks can break historical ratios

CORE CLAIM

- MISSING COMPLETE ACCOUNTS

MECHANISM

- benchmark-indicator extrapolation

CONSEQUENCE / LIMIT

- MISSING COMPLETE ACCOUNTS

- IN → current final goods and services
- IN → permitted imputations and government services

- OUT → embedded intermediate inputs and pure transfers
- OUT → old assets except current brokerage

- CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level...
- IN → current final goods and services

INFORMAL-SECTOR ESTIMATION MISSING COMPLETE ACCOUNTS SURVEYS + ADMINISTRATIVE SOURCES BENCHMARK-INDICATOR EXTRAPOLATION SHOCKS CAN BREAK HISTORICAL RATIOS

MISSING COMPLETE ACCOUNTS

→ **LIMIT** → shocks can break historical ratios

- MISSING COMPLETE ACCOUNTS
- surveys + administrative sources

- benchmark-indicator extrapolation
- LIMIT → shocks can break historical ratios

- MISSING COMPLETE ACCOUNTS
- surveys + administrative sources

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: benchmark-indicator extrapolation; LIMIT — shocks can break historical ratios.

BASE-YEAR REVISION TIMELINE SHIFT TO 2011-12 BASE 27 FEB 2026 RELEASE OF 2022-23-BASE SERIES 19 JUL 2026 CUTOFF FULL BACK SERIES PENDING NEVER SPLICE UNSUPPORTED SERIES

➡ **RULE** → never splice unsupported series

- 2015 → shift to 2011-12 base
- 27 FEB 2026 → release of 2022-23-base series

- 19 JUL 2026 CUTOFF → full back series pending
- RULE → never splice unsupported series

- 2015 → shift to 2011-12 base
- 27 FEB 2026 → release of 2022-23-base series

CAPACITY DIAGNOSIS	ACTUAL < POTENTIAL	NEGATIVE OUTPUT GAP	ACTUAL NEAR CAPACITY	DEMAND STIMULUS MEETS SUPPLY LIMITS	LABOUR + CAPITAL + PRODUCTIVITY	CAPACITY IS ESTIMATED, NOT OBSERVED
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- ACTUAL < POTENTIAL → negative output gap
- ACTUAL NEAR CAPACITY → demand stimulus meets supply limits

- POTENTIAL → labour + capital + productivity
- LIMIT → capacity is estimated, not observed

- ACTUAL < POTENTIAL → negative output gap
- ACTUAL NEAR CAPACITY → demand stimulus meets supply limits

SAVING-TO-GROWTH CONVERSION CAPITAL FORMATION CAPITAL NEEDED PER EXTRA OUTPUT HIGH ICOR WEAK CONVERSION EFFICIENCY

→ HIGH ICOR → weak conversion efficiency

- SAVING → INVESTMENT
- INVESTMENT → capital formation

- ICOR $\rightarrow$ capital needed per extra output
- HIGH ICOR $\rightarrow$ weak conversion efficiency

- SAVING → INVESTMENT
- INVESTMENT → capital formation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ICOR — capital needed per extra output; HIGH ICOR — weak conversion efficiency.

09

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACTUAL NEAR CAPACITY → demand stimulus meets supply limits.

STAGE 09

SAVING-TO-GROWTH CONVERSION

SAVING-TO-GROWTH CONVERSIONCAPITAL FORMATIONCAPITAL NEEDED PER EXTRA OUTPUTHIGH ICORWEAK CONVERSION EFFICIENCY

SAVING → INVESTMENT

INVESTMENT → capital formation

ICOR → capital needed per extra output

HIGH ICOR → weak conversion efficiency

CORE CLAIM

SAVING → INVESTMENT

INVESTMENT → capital formation

MECHANISM

ICOR → capital needed per extra output

HIGH ICOR → weak conversion efficiency

CONSEQUENCE / LIMIT

SAVING → INVESTMENT

INVESTMENT → capital formation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ICOR → capital needed per extra output; HIGH ICOR → weak conversion efficiency.

10

STAGE 10

CROSS-COUNTRY COMPARISON FORK

CROSS-COUNTRY COMPARISON FORKCOMMON BASKETPURCHASING POWERMARKET RATEEXTERNAL VALUETRADE AND DEBTSAME OUTPUT, DIFFERENT PRICE BASISQUOTE SOURCE AND REFERENCE YEAR

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
PPP → common basket → purchasing power	SAME OUTPUT, DIFFERENT PRICE BASIS	PPP → common basket → purchasing power
MARKET RATE → external value → trade and debt	RULE → quote source and reference year	MARKET RATE → external value → trade and debt

CORE CLAIM

PPP → common basket → purchasing power

MARKET RATE → external value → trade and debt

MECHANISM

SAME OUTPUT, DIFFERENT PRICE BASIS

RULE → quote source and reference year

CONSEQUENCE / LIMIT

PPP → common basket → purchasing power

MARKET RATE → external value → trade and debt

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MARKET RATE → external value → trade and debt.

11

STAGE 11

EXAMINER CLOSING SPINE

EXAMINER CLOSING SPINEBOUNDARY + FORMULABASE YEAR + PERIOD + VINTAGECOVERAGE + METHOD + EFFICIENCYDISTRIBUTION + UNPAID WORK + ECOLOGYEVIDENCE LIMITSTATE FACTOR COST/BASIC/MARKET-PRICE

DEFINE → boundary + formula

VERIFY → base year + period + vintage

ANALYSE → coverage + method + efficiency

QUALIFY → distribution + unpaid work + ecology

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price

CORE CLAIM

DEFINE → boundary + formula

VERIFY → base year + period + vintage

MECHANISM

ANALYSE → coverage + method + efficiency

QUALIFY → distribution + unpaid work + ecology

CONSEQUENCE / LIMIT

EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price...

DEFINE → boundary + formula

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENTINTERMEDIATE INPUTS + OPERATING SURPLUS + GFCEPRODUCTION TAXES/SUBSIDIES RELATE TO PRODUCTION ACTIVITY.PRODUCT TAXES/SUBSIDIES RELATE TO UNITS OF GOODS/SERVICES AND BRIDGEA TAX CUT CAN NARROW GDP GROWTH RELATIVE TOCONSTANT-PRICE ESTIMATES SEPARATE OUTPUT-VOLUME CHANGE FROM PRICE CHANGE.DIFFERENT SECTORS REQUIRE SUITABLE DEFLATORS; ONE ECONOMY-WIDE PRICE INDEXBASE-YEAR REVISION UPDATES PRICES, WEIGHTS, DATABASES, CLASSIFICATIONS AND

OPTIONAL SOURCE DEPTH

intermediate inputs + operating surplus + GFCE

Production taxes/subsidies relate to production activity.

Product taxes/subsidies relate to units of goods/services and bridge GVA

CAUTION: A tax cut can narrow GDP growth relative to GVA growth even when underlying

ADVANCED DEBATE

Constant-price estimates separate output-volume change from price change.

Different sectors require suitable deflators; one economy-wide price index

Base-year revision updates prices, weights, databases, classifications and

CAUTION: A new series can alter levels and growth rates because both the base and

LEGACY / NUANCE

CAUTION: Informal-sector estimation, rapidly changing digital services and quality

CAUTION: Per-capita GDP corrects for population size but not inequality.

CAUTION: Disaster reconstruction can add to GDP although the original welfare loss

CAUTION: Resource depletion may raise current output while reducing future wealth.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels

NATIONAL INCOME: GDP, GVA, GNP, NDP AND MEASUREMENT • TILE 4/4 • same master rows 6936-10170 of 10170 • end